

Interview

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'OPPORTUNITIES STILL ABOUND'

In a chat with **Sunil Dhawan**, the chief of India's fifth largest asset manager shares his outlook on the industry and his winning strategies

➔ **What are the key challenges facing the financial services sector in the near future?**

The biggest challenge is the worsening of the external environment. As GDP growth slows down, the sector will be affected. Second, there is a clear shift in the pattern of savings—from financial products to physical assets. Last year, many investors switched from financial instruments to asset classes such as gold and real estate. Third, high interest rates have a significant impact on the financial services sector. With rates rising over the last few years and refusing to come down, the sector is bound to take a hit.

➔ **Has the regulatory environment been a speed bump in the way of the industry's counter measures to tackle the slowdown?**

Thanks to the changes in regulation in several sectors, distribution creation is suffering and distribution models have to be revisited. For example, new business volume in life insurance is down 25-30 per cent over the last 2-3 years. If you look at the mutual fund business over same period, the assets under management (AUM) would probably be flat. However, a closer look reveals that liquid assets have grown and other assets have either remained flat or declined. This means that had it not been for the sharp growth in liquid assets, the industry's AUM would have come down. In such an environment, the importance of creating distribution to tap savings of the masses can't be overemphasised.

For a multi-channel distribution house like ours, expanding and deepening each channel and driving efficiency in each one of them is important.

➔ **Have any bitter realities come to the fore in the distribution space?**

With commissions and volumes of most products coming down, mono-line distributors are having a tough time. That's mainly because the cost of acquisition has become too high relative to income for agents selling single products. In an environment like this, financial advisors need to sell multiple products but, for that, they need training, support and an appropriate product range. So, basically this transition has to be facilitated so that distributors can provide customers with right solutions and make decent returns too.

➔ **Does the online channel hold promise in India's financial services sector?**

The online channel is picking up very fast in the country with the growth of the Internet and smartphones. As a transaction channel, it may not be material, but as a service and information source, it is making rapid strides. It's only a matter of time before people start feeling comfortable with it. Once that happens, the number of transactions happening online will get a boost.

➔ **What's your outlook on the growth of the financial services industry?**

All fee-based products, such as life insurance, MFs, wealth management and equity broking, have been facing headwinds in the last two years. However, in all these businesses, medium- to long-term opportunities still abound. Despite the short-term headwinds, it's ultimately the structure of the business and the industry that matters.

India's economy is growing by 7-8 per cent, with a nominal GDP (GDP not adjusted for inflation) of 14-15 per cent, a significant number. So, basically, a decent amount of national income is getting created and a reasonable amount of that income is going into savings. Every year, savings are getting an incremental boost of more than \$300 billion (₹16.8 trillion), with a larger pool coming into the economy.

Besides, the penetration of financial products and services is still very low in our country. Our MF industry is 30-40 years old, but hardly 4-5 per cent of Indian households



'If costs are largely fixed, or even semi-variable, any improvement in productivity usually flows straight to the bottomline'

Photo: BHUPINDER SINGH

have access to MF schemes. Things are no different for the life insurance industry and equity broking services.

➔ **And what's your strategy in this backdrop?**

It's to make sure that, at the very least, we are gaining market share. If there are headwinds affecting revenue and top-line growth, our job should be to outperform the market. We also have to focus on getting more out of the capacity we have. That is what drives the economics of our business. The bulk of our cost is incurred on people and the chunk of that is accounted by our sales and distribution channels. So if we drive productivity up, the company automatically benefits. Over the medium term, we have to deepen our distribution and widen our reach.

➔ **How do you keep costs in check?**

You need to strike the right balance between cutting wasteful costs and expenditure and keeping the topline intact. In areas where we think costs can be cut, we have been ruthless. As the business grows further, there will always be opportunities to review those costs and, maybe, even more optimisation. An equal focus has been on driving productivity up. That's because if one looks at costs and revenue independently, one takes a different view. But if one wants to generate greater revenues at the same cost, one's looking at a very different profitability matrix. If costs are largely fixed, or even semi-variable, any improvement in productivity usually flows straight to the bottomline. □

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